BEFORE THE PROCUREMENT REVIEW COMMITTEE

BALOCHISTAN PUBLIC PROCUREMENT REGULATORY AUTHORITY, QUETTA

PRC Appeal No. 55/2025

Muhammad Hasni Builders
Through its Managing Director, Gul Muhammad Hasni

...Appellant

Versus

1. Secretary, CWPP & H Department, Government of Balochistan
2. Executive Engineer, CWPP & H Department, District Chaghi
3. Chairman CRC / Chief Engineer, CWPP & H Makran / Rakhshan Zone
4. M/S Zarak Construction Company

...Respondents

Quorum

1. Mr. Habib ur Rehman Jamot..Chairman PRC
2. Mr. Iftikhar Ahmed Sanjrani..Member
3. Engr Junaid Shah ....Member
4. Engr Muhammad Ayub Nasir...Technical Member
5. Mr. Abdul Wahab Bulledi.. ....Private Member

BRIEF FACTS

1. The Executive Engineer, CWPP & H Department, District Chaghi issued Notice Inviting Tender under TSE No. 252610903043 for the work titled *"Construction of Black Top Road from 33 KM Maskichah to Durbinchah Killi from N-40 to Maskichah Killi"* with an estimated cost of Rs. 1,104,154,000/- through EPPS under Single Stage Two Envelope procedure.
2. The Appellant, being a PEC registered contractor holding valid CA (No Limit) category, participated in the bidding process and duly submitted its bid along with bid security in the prescribed form and amount.
3. After evaluation of eligibility/technical proposals, the Appellant was declared responsive and eligible. Subsequently, financial bids were opened on 06-12-2025.
4. Upon uploading of the financial evaluation report, the Appellant was declared non-responsive on the ground that the bid security was not valid till the bid validity period, invoking Clause 15.2 of the Bidding Documents.
5. Being aggrieved, the Appellant approached the Complaint Redressal Committee (CRC), which rejected the grievance vide decision dated 16-12-2025. According to the Appellant, the said decision was deliberately back-dated and not communicated in time to render the Appellant time-barred from approaching the PRC. However, the decision was

communicated on 22-12-2025, and the present appeal was filed on the same date, which is within statutory time.

ARGUMENTS OF THE APPELLANT

1. The Appellant contended that he had duly furnished bid security in the form of a valid Bank Guarantee from a scheduled bank, strictly in accordance with Rule 29 of the BPPRA Rules 2014 and the Bidding Documents.
2. It was argued that in terms of Rule 30 of the BPPRA Rules 2014, bid validity commences from the date of opening of financial proposals and extends up to ninety (90) days in case of National Competitive Bidding.
3. The Appellant asserted that its bid security was valid for the prescribed period and had neither expired nor attracted any of the forfeiture conditions enumerated under Rule 29(5).
4. It was further argued that no request for extension of bid validity was ever issued by the Procuring Agency under Rule 30(3), therefore no legal obligation arose upon the Appellant to extend the validity of bid security.
5. The Appellant submitted that Clause 15.2 of the Bidding Documents cannot be read in isolation or in a manner overriding the statutory rules, and the rejection was based on a misconceived interpretation resulting in unlawful disqualification of the lowest evaluated bidder.

REPLY OF THE RESPONDENTS

1. The official Respondents supported the impugned decision and maintained that Clause 15.2 of the Bidding Documents requires bid security to remain valid for twenty-eight (28) days beyond the bid validity period.
2. It was contended that since the bid security of the Appellant did not, according to their interpretation, fulfill this requirement, the Appellant was rightly declared non-responsive.
3. The private Respondent adopted the stance of the Procuring Agency and prayed for dismissal of the appeal.

FINDINGS OF THE COMMITTEE

1. The Committee notes that the Procuring Agency itself conceded before the Committee that, in terms of Rule 30 of the BPPRA Rules 2014, bid validity commences from the date of opening of financial proposals. There is no dispute on this legal position.
2. The sole basis adopted by the Procuring Agency for declaring the Appellant non-responsive was that, according to its calculation, the bid security furnished by the Appellant was valid for a period of approximately two months after the opening of financial bids, whereas the bid validity period prescribed under the Rules is ninety (90) days.
3. The Committee finds that this approach is founded on a fundamental misconception of the law. Neither Rule 29 nor Rule 30 of the BPPRA Rules 2014 prescribes any requirement that the validity period of bid security must be identical to, or co-terminus with, the bid validity period at the time of opening of financial bids.
4. Rule 29 merely obliges a bidder to furnish bid security in the prescribed form and amount and specifies the circumstances in which such security may be retained, returned, or forfeited. The said rule does not introduce any comparative or proportional test between the duration of bid security and the bid validity period.
5. Rule 30 governs bid validity and its extension. Sub-rule (7)(a) explicitly provides that extension of bid security becomes obligatory only when the bid validity period is formally extended at the request of the Procuring Agency. In the absence of any request for extension

under Rule 30(3), no statutory obligation arises upon a bidder to extend the validity of bid security.

6. Clause 15.2 of the Bidding Documents stipulates that bid security shall be valid for a period of twenty-eight (28) days beyond the bid validity where the bid security is furnished through an insurance company having at least AA rating from PACRA/JCR. In the present case, however, the Appellant furnished bid security in the form of a Bank Guarantee issued by a Scheduled Bank of Pakistan, which was valid and enforceable at the relevant time. Accordingly, the Procuring Agency's reliance on the said clause to disqualify the Appellant was misplaced. The Committee further observes that the Procuring Agency has failed to identify any provision of law which requires bid security to be exactly equal to the bid validity period at the financial opening stage. The inference drawn by the Procuring Agency is therefore an assumption unsupported by the Rules.

7. In procurement law, responsiveness is assessed on the basis of substantial compliance. The Appellant had furnished bid security which was valid, genuine, and enforceable at the time of financial bid opening, and none of the forfeiture conditions under Rule 29(5) were attracted. Mere numerical comparison of remaining validity periods, without any statutory backing, cannot be a lawful ground for disqualification.

8. The interpretation advanced by the Procuring Agency, if accepted, would introduce an extra-statutory condition not contemplated by the BPPRA Rules 2014 and would result in arbitrary exclusion of bidders, thereby defeating the principles of competition and fairness.

9. The Committee further observes that Rule 29 of the BPPRA Rules 2014 authorizes the Procuring Agency to retain bid security of a responsive bidder up to the stage of signing of the procurement contract and deposit of performance guarantee, if applicable. In the present case, the Appellant had not only been declared technically qualified but had also secured higher technical scores and emerged as the lowest evaluated bidder in the financial evaluation, resulting in a saving of approximately Rs. 50 million to the public exchequer.

10. At the time the Appellant was declared non-responsive, the Procuring Agency still had a remaining period of approximately two months and four days available before the expiry of the bid security to proceed towards award of contract and signing of agreement. Therefore, even on a practical and procedural plane, no prejudice was caused to the Procuring Agency.

11. The Committee holds that disqualification of the Appellant at this stage, despite availability of sufficient time under Rule 29 to conclude the procurement process, amounts to an arbitrary exercise of authority, defeats the object of competitive bidding, and is contrary to the principles of economy and efficiency underlying the BPPRA Rules 2014.

12. The rejection of the Appellant is thus not only unlawful in law but also unreasonable and disproportionate in its effect.

13. The Committee is therefore of the considered view that the rejection of the Appellant on account of bid security was illegal, arbitrary, and violative of Rules 29 and 30 of the BPPRA Rules 2014.

DECISION & DIRECTIONS

1. For the reasons recorded above, the appeal is **allowed.**

2. The decision of the Complaint Redressal Committee dated **16-12-2025** is hereby **set aside.**

3. The action of the Procuring Agency in declaring the Appellant non-responsive on account of bid security is declared **unlawful and without lawful authority**.

4. The Procuring Agency is directed to **re-evaluate** the bid of the Appellant, strictly in line with the BPPRA Rules 2014 and the Bidding Documents and thereafter issue a revised evaluation report in accordance with law.

5. The Procuring Agency is directed to proceed further strictly in accordance with the BPPRA Rules 2014, keeping in view the findings recorded herein.

Announced on: 31-12-2025

31/12/2025

Habib Ur Rehman Jamot

Chairman
Government of Balochistan
Public Procurement Review Committee
(B-PPRA)

31/12/2025

Iftikhar Ahmed Snajrani

Member
Procurement Review Committee
BPPRA

Engr. Junaid Shah 31/12/25

Member
Procurement Review Committee
BPPRA

Engr. Muhammad Ayub Nasir

31/12/2025

Member
Procurement Review Committee
BPPRA

31/12/25

Abdul Wahab Bulledi, Advocate

Member
Procurement Review Committee
BPPRA